

Retail flush

What the next year of consumer, commerce and AI actually looks like

Everything shifts at once

Retail doesn't get one disruption at a time — it gets a stack

Consumer

Bifurcated.
Top 10% now drives
half of spending.

Channels

E-commerce is 16%
of retail, but the
center of gravity.

Geopolitics

Tariffs, de minimis,
reshoring —
global goods repriced.

Tech

AI, automation,
robots, agents.
No one knows the
shape.

Biology

GLP-1s. A drug
that eats into
your grocery basket.

Who gets eaten, and by what?

Every trend hits the merchant, the shopper, and the balance sheet differently

The shopper

Sentiment at multi-year lows.
Trading down. Using
GLP-1s. Price-hunting.

The merchant

Tariffed margins.
Inventory out of phase.
Media budget pulled
toward Amazon.

The challenger

Shein, Temu, TikTok Shop
built on de minimis.
The loophole closed
in August 2025.

The consumer is two different people

Top 10% of US earners now account for ~49% of consumer spending — highest since 1989

49%

of all US consumer spending now comes from the top 10% of households

Meanwhile

68%

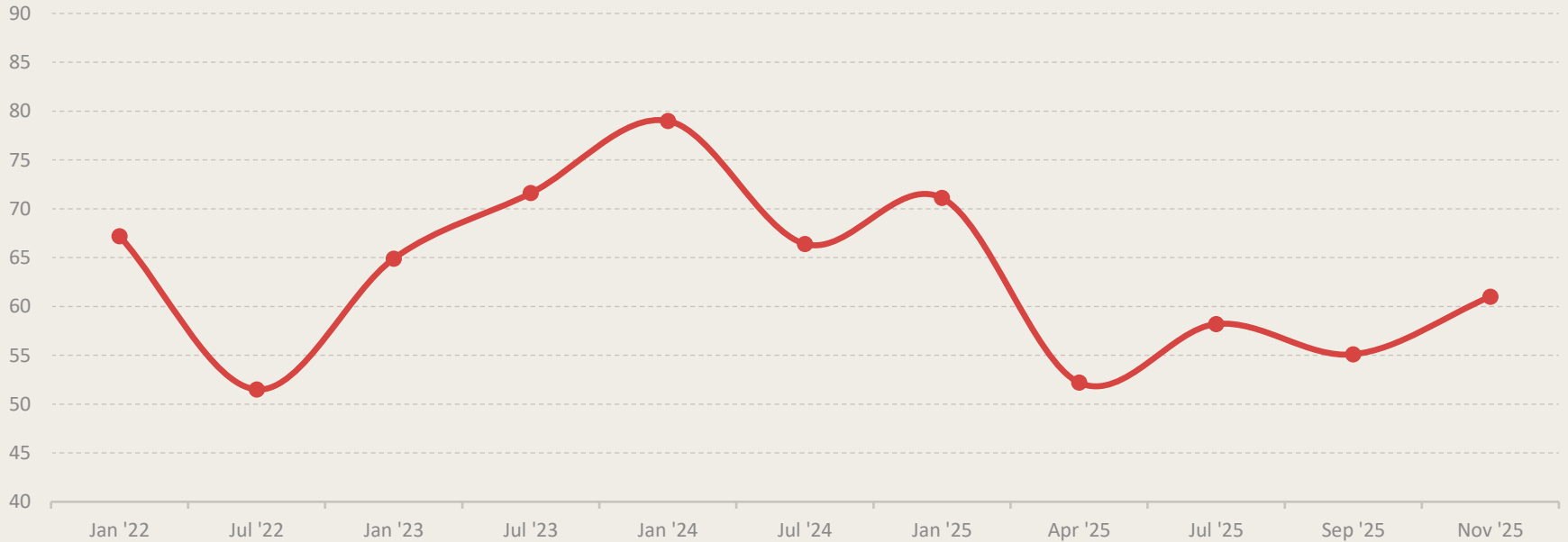
of Americans live paycheck to paycheck

...and cardboard-box shipments — a proxy for stuff moving — sit at multi-year lows.

Sentiment is fragile

University of Michigan Consumer Sentiment Index — a leading indicator for discretionary spend

Index value (1966 = 100)



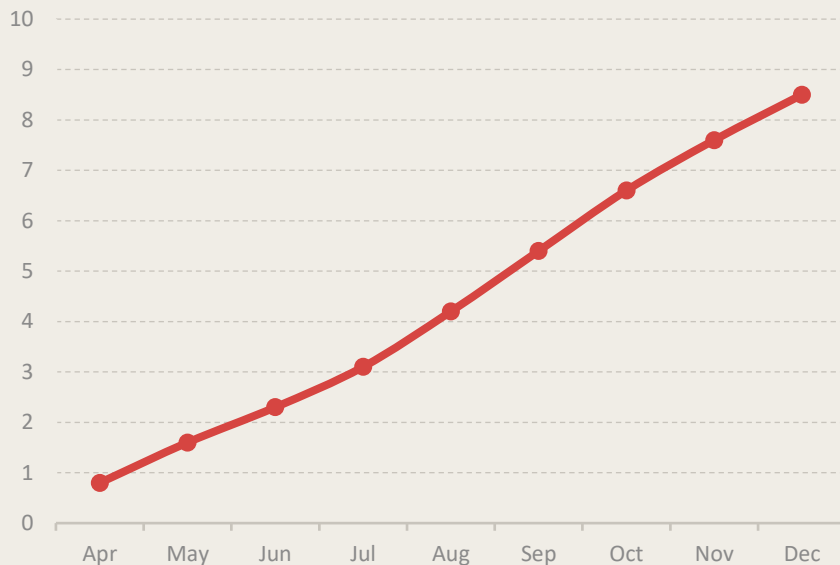
Tariffs didn't spike — they crept

Prices on China-origin goods rose 8.5% YoY by Dec 2025, with ~30%+ tariff pass-through to shoppers

+8.5%

YoY price rise on China-origin retail goods by December 2025

Cumulative YoY price change, China-origin goods (%)



A drug is eating the grocery basket

GLP-1 users reduce food spend ~5% in 6 months, ~10% across 100 categories over a year

23%

of US households have
a GLP-1 user

-5.3%

grocery spend within
6 months of adoption

-10%

savory snacks, sweets,
baked goods

+80%

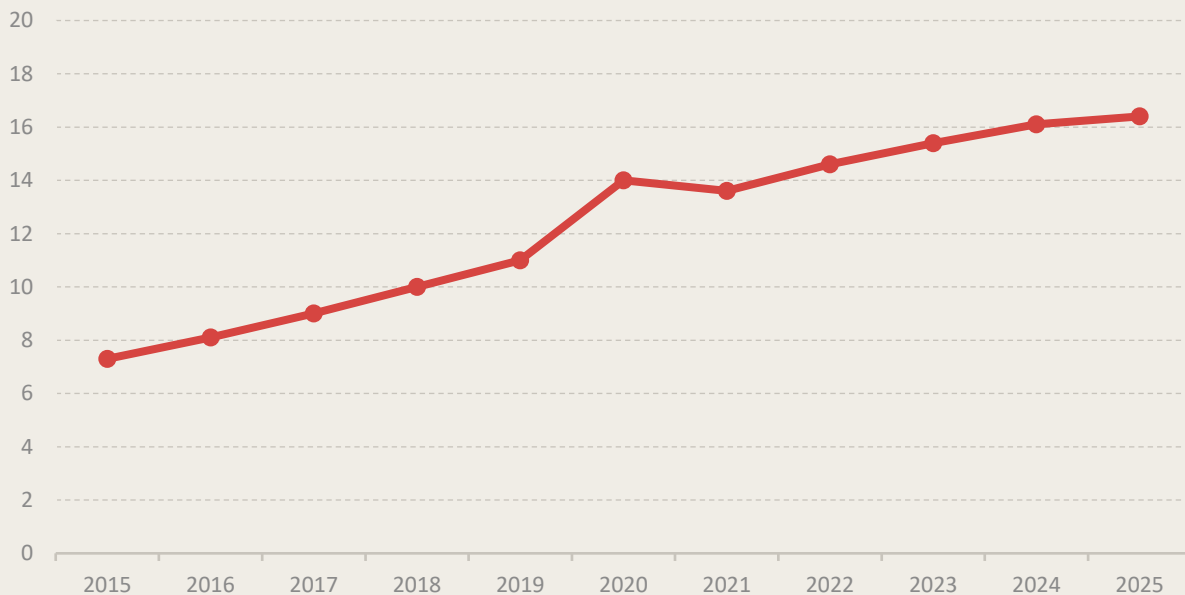
formal-wear sales in
H1 2025 (Consumer Edge)

By 2030, GLP-1 households are projected to account for ~35% of all food & beverage units sold.

E-commerce kept grinding, quietly

Online share of US retail is up again in 2025, but double-digit growth is gone

E-commerce as % of total US retail sales (SA)



\$1.23 tr

US e-commerce sales, 2025 — up 5.4% YoY

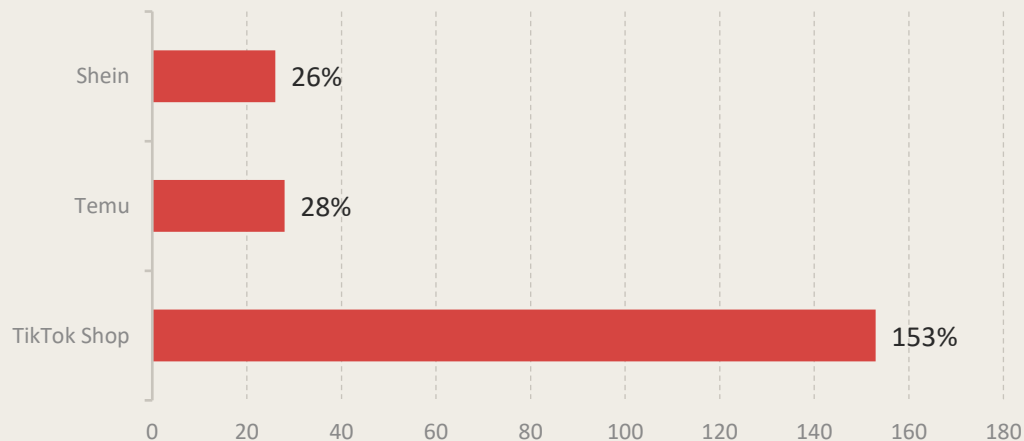
Excluding gas & grocery, online is now ~30% of retail. That's where the platform battle sits.

The China wave broke on the shore

TikTok Shop eats its cousins

Three Chinese platforms ran on the same loophole — and the loophole closed

Jan 2025 YoY sales growth (%) — before tariff hit



Then the floor dropped

Temu app store rank:

#3 → #85

in two weeks (April '25)

De minimis closed Aug 29 '25.

Shein cut its London IPO valuation from \$66bn to ~\$30bn.

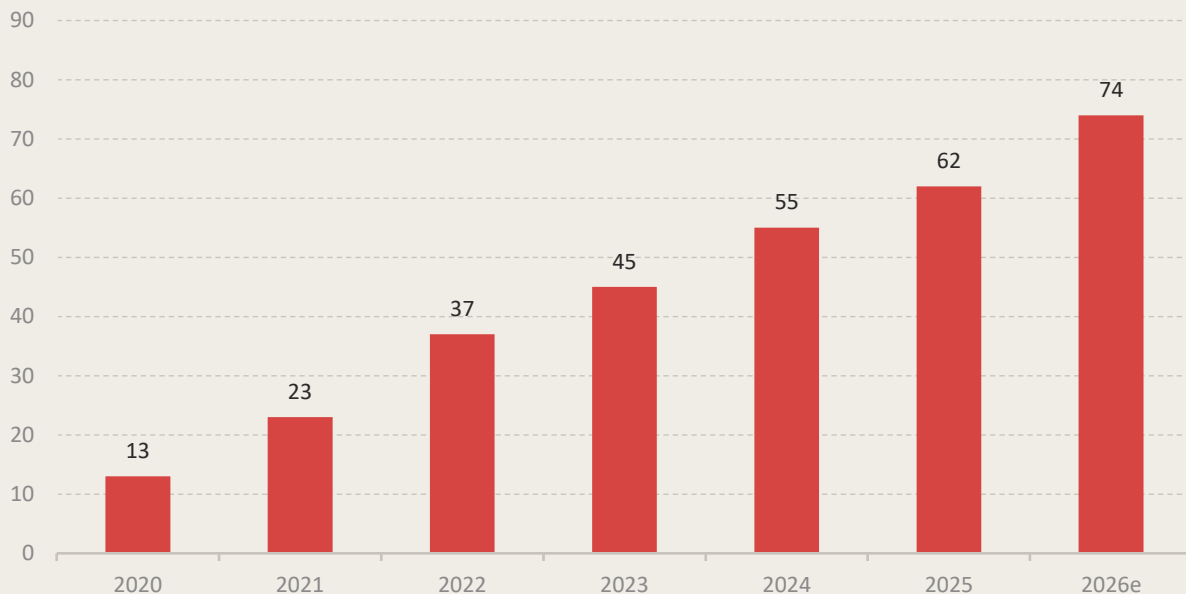
~29% of US consumers still shop Temu monthly — the demand didn't die, the business model did.

What's hot (and what's not)

Retail media is the new search

The fastest-growing ad channel in commerce — concentrating around a few ecosystems

US retail media ad spend (\$bn)



+15.6%

expected 2025 RMN growth —
roughly 2× overall ad market

Amazon, Walmart and a long tail of 'retailer ad networks' are pulling brand dollars away from Meta and Google.

Private label isn't a recession trade anymore

Shoppers trade down, then they stay

1 in 4

dollars at US grocers is now spent on store brands — a record

Who wins

Costco (Kirkland): ~33% of Costco revenue

Aldi & Trader Joe's: 90%+ private label

Walmart (Bettergoods): premium PL push

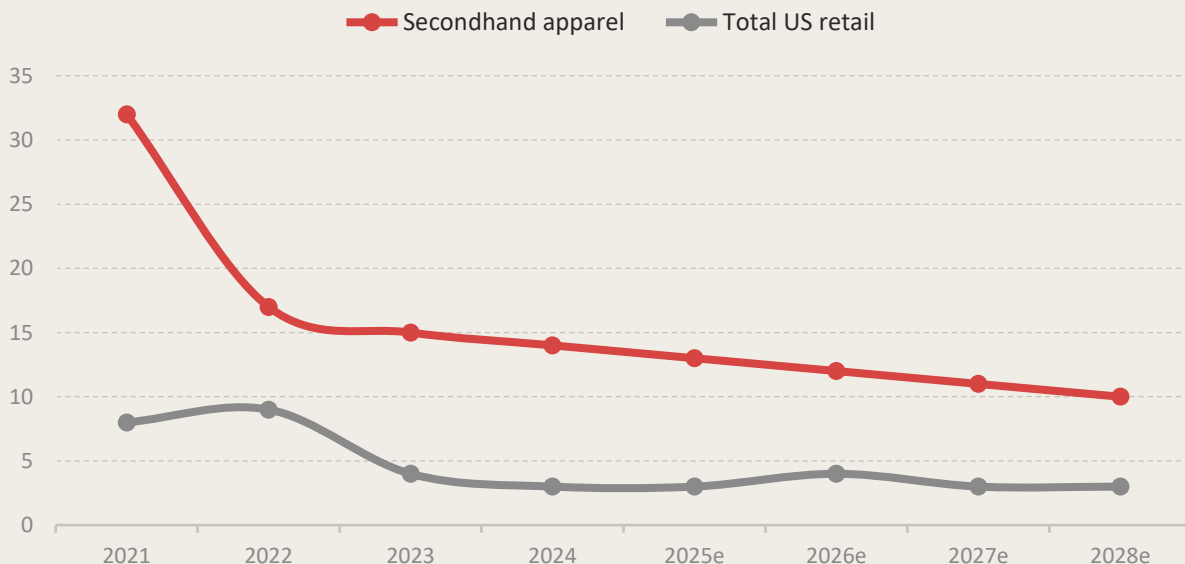
Target (Good & Gather): \$12bn+ brand

Branded CPG margins compressing — the shopper has noticed that the 'name' is worth less than it was.

Secondhand keeps growing fast

Resale has outgrown retail 2-3x for half a decade — and Gen Z buys used first

YoY growth rate (%)



\$350bn

projected global secondhand apparel market by 2028

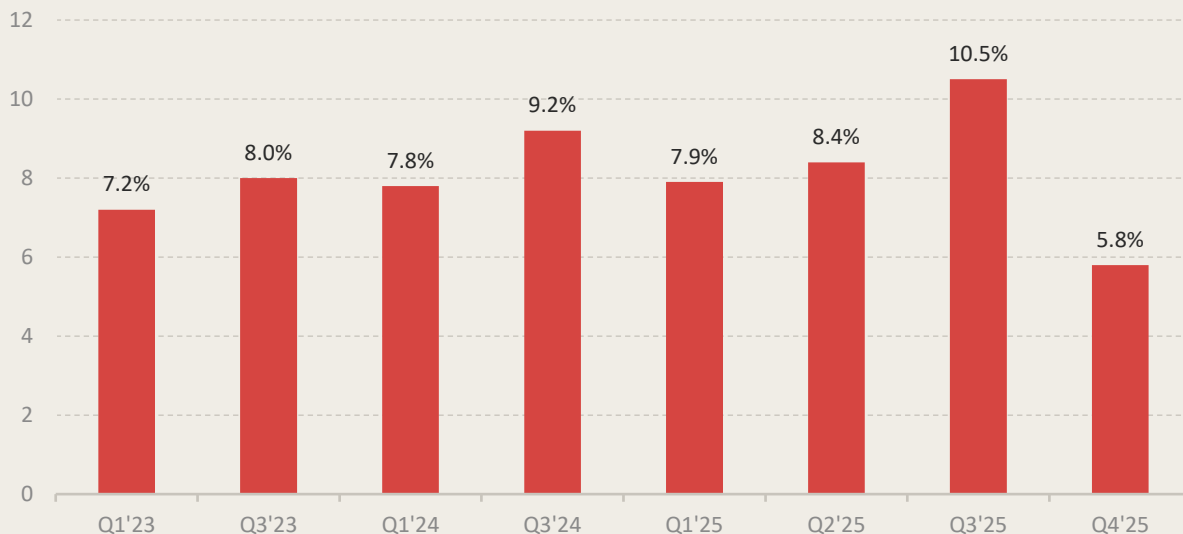
Gen Z buys resale first, new second. The department store never recovered.

The EV reality check

EV sales fell — first time in a decade

The \$7,500 federal tax credit ended in September. Q4 demand collapsed.

EV share of US new-vehicle sales (%)



-48%

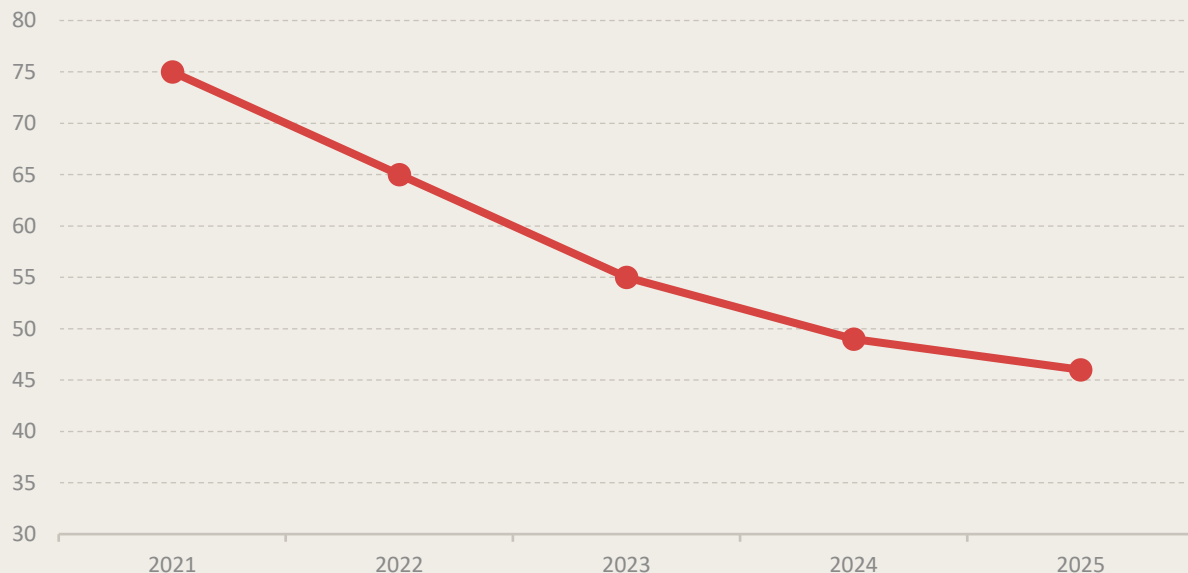
YoY EV registrations in December 2025 after the tax credit expired

Dealer inventory jumped from 40 days in Q3 to 149 days in November.

Tesla is still the leader — and still shrinking

From 75% of the US EV market four years ago to 46% in 2025

Tesla share of US EV sales (%)



The affordability gap

9

EV models under \$40k

56

ICE models under \$40k

The EV hype moved — it didn't die

Growth is happening in China, in hybrids, and in the used market

25%

of global auto sales
were EVs in 2025
(IEA)

+40%

growth in used EV
sales into early 2026

1.5x

hybrid sales growth
vs. BEVs in 2025

\$19.9bn

in planned US EV
manufacturing
investment cancelled

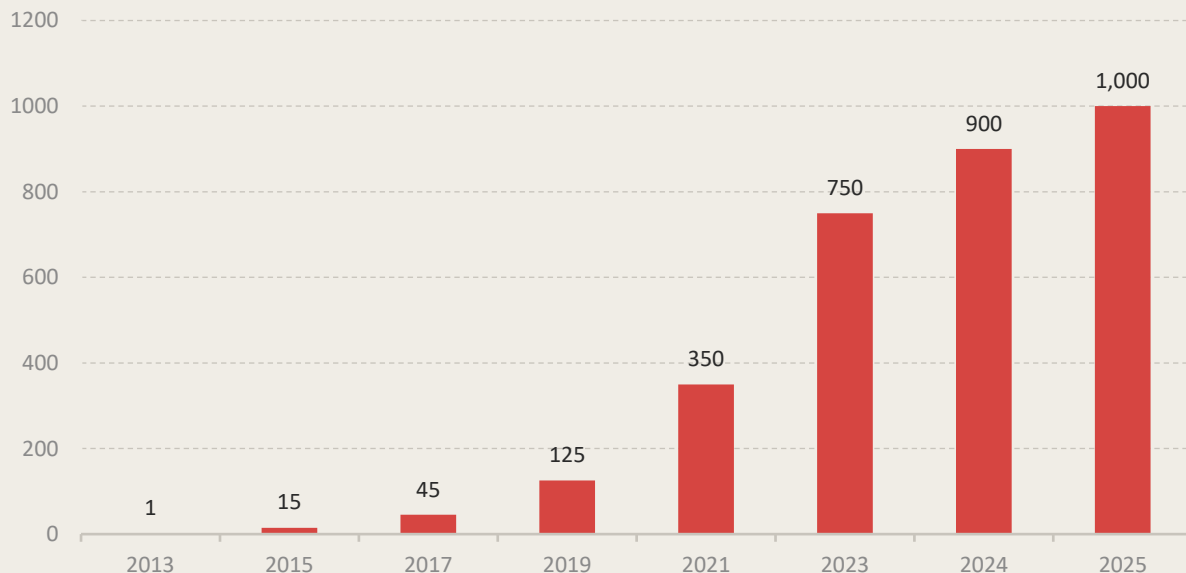
The bet on US EV dominance is a trade war / energy policy question, not a demand question.

AI eats retail

Amazon has as many robots as employees

1 million warehouse robots, up from 1,000 in 2013 — and still accelerating

Amazon robot fleet (thousands)



~1.5m

Amazon human workforce (down from 1.6m peak in 2021)

'Vulcan' — Amazon's first robot with touch — can handle 75% of warehouse items.

Where AI is already a line item

Absorb first, innovate later — most retail AI is still 'automate the obvious'

Fulfillment

1M Amazon bots. Walmart's 3D-printed warehouses. Ocado's 65k orders/week per site.

Checkout

Cashier-less Amazon Fresh / Sam's Club 'Scan & Go' now mainstream in flagship stores.

Merchandising

AI demand forecasts, dynamic pricing, auto-replenishment. 69% of retailers report revenue lift.

Creative

L'Oréal, Unilever, Mondelez cutting content costs 30-50% with GenAI — 10-20x more ad assets.

Agents

ChatGPT, Perplexity, Gemini shopping. Walmart's 'Sparky'. Still tiny — but cannibalizing search.

Agentic commerce is the wild card

If the shopper is a model, who's the customer — the person, or the agent?

Today

User types a query.
Google, Amazon,
or TikTok shows results.
Merchant pays for ads.

Near

ChatGPT / Perplexity
recommends a product.
Traffic to CNN, HuffPost:
-30 to -40% already.

Next

Agent books your
hotel, buys your
toothpaste, refills your
repeat orders.

Then

Who does Unilever
market to? A model?
Is 'brand' still
a defensible moat?

"What's our AI strategy?" is now a CMO, a CIO, and a CFO question — at the same time.

Social commerce finally works (in the US)

TikTok Shop did \$44bn in GMV during the 2025 Cyber 5 — 50% of sales driven by creators

35%

of e-commerce sales
will touch social
platforms in 2025

50%

of TikTok Shop
revenue is via
creator partnerships

\$6bn

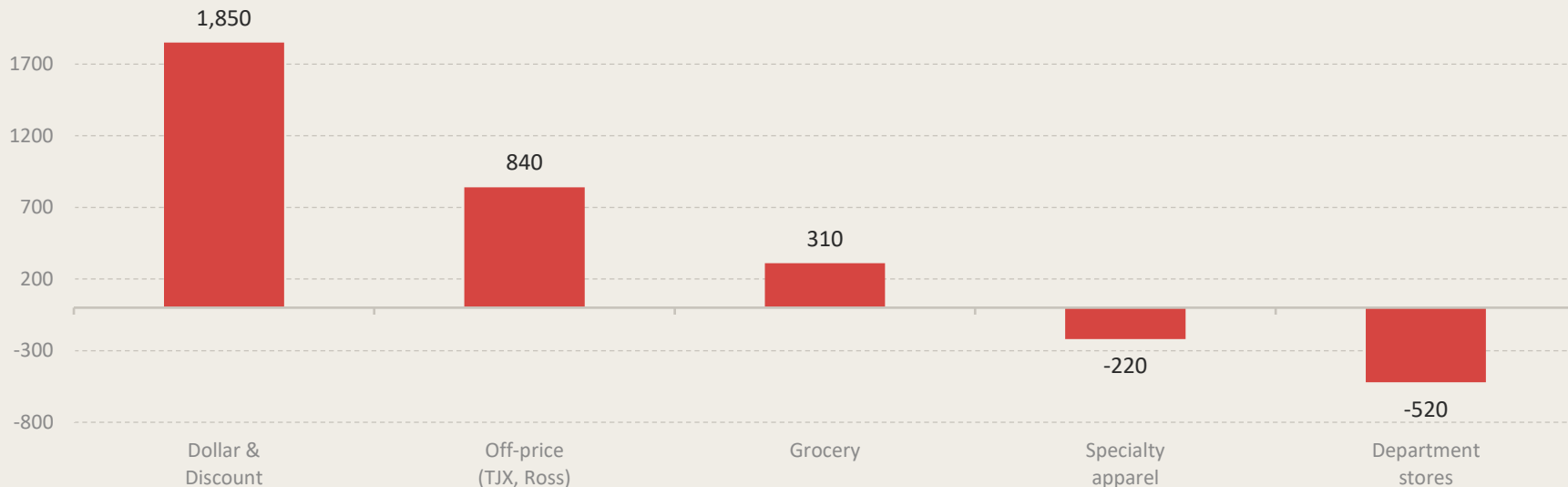
TikTok Shop's in-app
purchase revenue
since 2023 launch

Live shopping is a \$30bn+ category in China. It's finally crossing the Pacific.

Physical stores are back (for some)

Walmart opened its first new Supercenter in 4 years. Discount and off-price added thousands of doors.

US net store openings / closings, 2025 announcements



Experiential, value, and off-price formats are adding doors. Mid-market apparel and legacy department stores are not.

What to watch in 2026

Five things to watch in 2026

The questions that will determine who wins the next year of retail

- | | | |
|----|--------------------------------|---|
| 01 | The consumer bifurcation | Does top-10% spending hold up if asset markets wobble? That's half of retail demand. |
| 02 | Tariff pass-through, round two | Most 2025 inventory was pre-tariff. 2026 shelves are the real test. |
| 03 | Agentic commerce traction | Does anyone actually let an LLM buy things? Walmart, Amazon, Shopify, Stripe all betting yes. |
| 04 | GLP-1 category ripples | Snacks, alcohol, QSR, plus-size apparel — real dollars, real reformulations. |
| 05 | China platforms' next move | Will TikTok Shop survive divestiture drama? Does DHgate become the next wave? |

The bigger question

Every previous retail platform shift — malls, big-box, e-commerce, mobile — changed who captured the value

Before

Shelf space was scarce.
Brands paid slotting fees.
Media was mass.
Data was small.

Now

Shelf space is infinite.
Attention is scarce.
Media is micro-targeted.
Data is the moat.

Soon?

The agent has shelf space.
Attention is a model's.
Media is a prompt.
Data is the training set.

Every retail platform shift has a new gatekeeper. We don't yet know who the next one is.

"Retail doesn't get disrupted—it gets rebundled. The question for 2026 isn't whether AI, tariffs, or GLP-1s will reshape the shelf. They already have. The question is who owns the shelf next."

— Anonymous retail CEO, November 2025

Thank you

Retail Macro Deep Dive — April 2026